COMMUNITY FOOD CENTRES CANADA

Financial Statements

Year ended March 31, 2025

COMMUNITY FOOD CENTRES CANADA

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Adams + Miles

Adams + Miles, Chartered Professional Accountants
Toronto: 2550 Victoria Park Avenue, Suite 501; M2J 5A9
Mississauga: 5975 Whittle Road, Suite 240; L4Z 3N1
Office: 416 502-2201

INDEPENDENT AUDITOR'S REPORT

To the Members of
Community Food Centres Canada

Opinion
We have audited the financial statements of Community Food Centres Canada (the "Organization"), which comprise the statement of financial position as at March 31, 2025, and the statements of changes in net assets, operations and cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Organization as at March 31, 2025, and its results of operations and its cash flows for the year then ended in accordance with Canadian accounting standards for not-for-profit organizations.

Basis for Opinion
We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Organization in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter
The financial statements of the Organization for the year ended March 31, 2024 were audited by another auditor who expressed an unmodified opinion on those financial statements on June 19, 2024.

Responsibilities of Management and Those Charged with Governance for the Financial Statements
Management is responsible for the preparation and fair presentation of the financial statements in accordance with Canadian accounting standards for not-for-profit organizations, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Organization's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Organization or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Organization's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements. As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

INDEPENDENT AUDITOR'S REPORT - cont'd

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Organization's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Organization to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Adams & Miles LLP

Chartered Professional Accountants
Licensed Public Accountants

Toronto, Canada
June 18, 2025

COMMUNITY FOOD CENTRES CANADA

Statement of Financial Position

March 31, 2025

	2025	2024
Assets		
Current		
Cash	$ 9,415,325	$ 7,300,899
Guaranteed Investment Certificates (Note 3)	45,000	45,000
Accounts receivable	166,363	1,259,735
Harmonized Sales Tax recoverable	324,590	199,648
Prepaid expenses	146,411	96,134
	10,097,689	8,901,416
Capital assets (Note 4)	17,411,959	10,485,943
	$ 27,509,648	$ 19,387,359
Liabilities		
Current		
Accounts payable and accrued liabilities(Note 11)	$ 2,334,214	$ 744,233
Current portion of mortgage payable (Note 5)	1,415,273	52,085
Deferred contributions (Note 6)	691,842	703,766
	4,441,329	1,500,084
Mortgage payable (Note 5)	-	1,415,273
Deferred capital contributions (Note 7)	17,805,009	11,339,631
	22,246,338	14,254,988
Net assets		
Unrestricted	1,763,310	1,632,371
Designated (Note 8)	3,500,000	3,500,000
	5,263,310	5,132,371
	$ 27,509,648	$ 19,387,359

Approved on behalf of the Board:

_____ Member

_____ Member

COMMUNITY FOOD CENTRES CANADA

Statement of Changes in Net Assets

Year ended March 31, 2025

	Unrestricted	Designated	Total 2025	Total 2024
Balance, beginning of year	$ 1,632,371	$ 3,500,000	$ 5,132,371	$ 5,123,443
Excess of revenue over expenditures	130,939	-	130,939	8,928
Balance, end of year	$ 1,763,310	$ 3,500,000	$ 5,263,310	$ 5,132,371

COMMUNITY FOOD CENTRES CANADA

Statement of Operations

Year ended March 31, 2025

	2025	2024
Revenue		
Contributions		
Foundations	$ 9,574,248	$ 7,948,533
Individuals	1,670,958	1,538,670
Corporations	885,693	952,390
Government (Note 9)	479,567	796,749
Interest and other	254,446	251,136
	12,864,912	11,487,478
Expenditures		
Program		
Affiliate Community Food Centres (Note 10)	3,672,082	3,829,897
Grants	2,710,566	1,839,138
Personnel	2,503,613	2,422,056
Other program delivery	1,020,353	762,651
Administrative		
Personnel	1,023,072	1,052,273
Office and general	337,909	187,438
Professional fees	180,047	188,882
Occupancy	115,329	113,659
Fundraising		
Personnel	996,276	785,737
Development	174,726	296,819
	12,733,973	11,478,550
Excess of revenue over expenditures	$ 130,939	$ 8,928

COMMUNITY FOOD CENTRES CANADA

Statement of Cash Flows

Year ended March 31, 2025

	2025	2024
Cash provided by (used in)		
Operating activities		
Excess of revenue over expenditures	$ 130,939	$ 8,928
Changes in		
Accounts receivable	1,093,372	(951,095)
Harmonized Sales Tax recoverable	(124,942)	(135,353)
Prepaid expenses	(50,277)	(63,862)
Accounts payable and accrued liabilities	1,589,981	384,068
Deferred contributions	(11,924)	(225,668)
	2,627,149	(982,982)
Financing activities		
Repayments of mortgage payable	(52,085)	(2,045,727)
Deferred capital contributions	6,465,378	6,166,000
	6,413,293	4,120,273
Investing activity		
Purchase of capital assets	(6,926,016)	(2,828,768)
Change in cash position	2,114,426	308,523
Cash, beginning of year	7,300,899	6,992,376
Cash, end of year	$ 9,415,325	$ 7,300,899

1. Nature of operations

Community Food Centres Canada (the "Organization") was incorporated without share capital under the provisions of the Canada Not-for-profit Corporations Act in 2011. The Organization is exempt from income tax in Canada as a registered charitable organization under the Income Tax Act (Canada).

Community Food Centres Canada provides resources and a proven approach to partner organizations across Canada to create Community Food Centres that bring people together to grow, cook, share, and advocate for good food. The Organization also works with the broader food movement to build greater capacity for impact and to empower communities to work toward a healthy and fair food system.

2. Summary of significant accounting policies

Management is responsible for the preparation of these financial statements in accordance with Canadian accounting standards for not-for-profit organizations. Outlined below are those policies considered particularly significant:

Revenue recognition

Contributions

The Organization follows the deferral method of revenue recognition for contributions. Externally restricted contributions, including restricted grants and restricted donations, related to current expenses are recognized as revenue in the current year. Externally restricted contributions received in the year for expenses to be incurred in the following year are recorded as deferred contributions. Externally restricted contributions related to the purchase of capital assets are recorded as revenue in the same period, and on the same basis, as the related capital assets are amortized. Unrestricted contributions, including donations and amounts received from fundraising, are recorded when received.

Contributed materials and services

Contributed materials and services which are normally purchased by the Organization are not recorded in the accounts. Volunteers contribute their time to assist the Organization in delivering its services. Because of the difficulty of determining the fair value, donated services are not recognized in the financial statements.

Interest and other

Interest and other income is recognized as revenue when earned.

Allocation of expenses

The Organization allocates personnel costs based on time spent.

2. Summary of significant accounting policies - cont'd

Capital assets

Capital asset purchases, including costs related to bringing the building to completion, are recorded at cost. Amortization will be provided annually at rates calculated to amortize the assets over their estimated useful lives. Management will assess the useful lives of the various components of the building once they are available for use (Note 4).

Impairment of long-lived assets

The Organization tests for impairment whenever events or changes in circumstances indicate that the carrying amount of the assets may not be recoverable. Recoverability is assessed by comparing the carrying amount to the projected undiscounted future net cash flows the long-lived assets are expected to generate through their direct use and eventual disposition. When a test for impairment indicates that the carrying amount of an asset is not recoverable, an impairment loss is recognized to the extent carrying value exceeds its fair value.

Financial instruments

The Organization’s financial instruments include cash, Guaranteed Investment Certificates, accounts receivable, accounts payable and accrued liabilities, and mortgage payable.

Guaranteed Investment Certificates are recorded at cost plus accrued interest, which approximates fair value. All other financial instruments are initially recorded at fair value and are subsequently recorded net of any provisions for impairment in value.

Fluctuations in market interest rates will not affect future cash flows required for the Organization's fixed-rate mortgage obligation up to July 2025, when the mortgage is due (Note 6). It is management’s assessment that the Organization is not exposed to significant credit, liquidity, currency, or other price risks. The Organization's financial instruments risk exposure is consistent with the prior year.

Measurement uncertainty

The preparation of financial statements in conformity with Canadian accounting standards for not-for-profit organizations requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reported period. Actual results could differ from those estimates.

3. Guaranteed Investment Certificates

Guaranteed Investment Certificates ("GICs") are issued by a major Canadian chartered bank, earn interest at bank prime less 2.95% (2024 - 2.70%), and mature between June 2025 and November 2025 (2024 - June 2024 and November 2024). The GICs will remain restricted as security for the associated credit facilities until they are closed (Note 11).

4. Capital assets

	2025			2024
	Cost	Accumulated Amortization	Net Book Value	Net Book Value
Land	$ 1,525,189	$ -	$ 1,525,189	$ 1,525,189
Building	4,469,269	-	4,469,269	4,469,269
Building improvements	11,417,501	-	11,417,501	4,491,485
	$ 17,411,959	$ -	$ 17,411,959	$ 10,485,943

Amortization of the building at 340 Gerrard Street East, Toronto and related building improvements will begin when the building is available for use, which is estimated to be in fiscal 2026. Remaining project costs to be spent on the building improvements in fiscal 2026 are estimated to be $3,222,000.

5. Mortgage payable

	2025	2024
Vancity Community Investment Bank first mortgage, bearing an annual fixed interest rate of 6.65%, secured by the building at 340 Gerrard Street East, Toronto, due July 31, 2025, amortized over 20 years with monthly blended payments of $12,218	$ 1,415,273	$ 1,467,358
Less: current portion	(1,415,273)	(52,085)
Long-term portion	$ -	$ 1,415,273

6. Deferred contributions

Deferred contributions comprise amounts received from the following sources:

	2025	2024
Foundations	$ 564,379	$ 671,090
Corporations	127,463	27,000
Other	-	5,676
	$ 691,842	$ 703,766

The continuity of deferred contributions for the year is as follows:

	2025	2024
Deferred contributions, beginning of year	$ 703,766	$ 929,433
Add: contributions received	6,360,313	11,010,675
Less: recognized into revenue	(6,372,237)	(11,236,342)
Deferred contributions, end of year	$ 691,842	$ 703,766

7. Deferred capital contributions

The continuity of deferred capital contributions for the year is as follows:

	2025	2024
Deferred capital contributions, beginning of year	$ 11,339,631	$ 5,173,631
Add: capital contributions received	6,465,378	6,166,000
Deferred capital contributions, end of year	$ 17,805,009	$ 11,339,631

8. Designated net assets

The Organization's activities include long-term commitments to funding its affiliates and other projects and, accordingly, the Organization has established an internally restricted reserve for this and other strategic purposes including future sustainability. During the year, no amounts were added to designated net assets (2024 - $Nil).

9. Government contributions

Contribution revenue recognized from government sources for the year is as follows:

	2025	2024
Public Health Agency of Canada	$ 414,567	$ 724,749
Province of Ontario - Ministry of Citizenship and Multiculturalism	65,000	72,000
	$ 479,567	$ 796,749

10. Affiliate Community Food Centres

A core aspect of the Organization's mission is to co-create affiliate Community Food Centres across Canada that operate as independent organizations. During the year, the Organization paid $3,672,082 (2024 - $3,829,897) to affiliate Community Food Centres to fund their program expenses.

11. Credit facilities

The Organization has a $500,000 line of credit which bears interest at the bank's prime rate plus 1.50%. The line of credit is unsecured and repayable on demand. As at March 31, 2025, the balance payable on the line of credit was $Nil (2024 - $Nil).

Additionally, the Organization has available to it a corporate credit card facility with a total credit limit of $100,000 (2024 - $100,000) bearing interest at rates determined by the credit card issuer. As at year-end, $12,408 (2024 - $16,873) was drawn on the credit card facility, and included in accounts payable and accrued liabilities.

12. Lease commitments

The Organization leases office spaces in Toronto, Canada under agreements expiring in June 2025 and September 2025. Total minimum lease payments required in fiscal 2026 are $57,325.

13. Comparative amounts

Certain comparative amounts have been reclassified to conform to the current year's financial statement presentation.